

Y 2025 Earnings Call

Company Participants

- Christophe Fouquet, Chairman of the Management Board, President, Chief Executive Officer
- Jim Kavanagh, Investor Relations
- Roger Dassen, Chief Financial Officer, Executive Vice President, Member of the Board of Management

Other Participants

- Alexander Duval, Analyst, Goldman Sachs
- Andrew Gardiner, Analyst, Citi
- C.J. Muse, Analyst, Cantor Fitzgerald
- Chris Caso, Analyst, Wolfe Research
- Didier Scemama, Analyst, Bank of America
- Francois-Xavier Bouvignies, Analyst, UBS
- Joe Quatrochi, Analyst, Wells Fargo
- Krish Sankar, Analyst, TD Cowen
- Mehdi Hosseini, Analyst, Susquehanna Financial Group
- Tammy Qiu, Analyst, Berenberg

Presentation

Operator

Good day, and thank you for standing by. Welcome to the ASML 2025 Fourth Quarter and Full Year Financial Results Conference Call on January 28, 2026. At this time, all participants are in a listen-only mode. After the speakers' introduction, there will be a question-and-answer session. (Operator Instructions) Please be advised that today's conference is being recorded.

I would now like to hand the conference over to Mr. Jim Kavanagh. Please go ahead.

Jim Kavanagh {**BIO 15261348 <GO>**}

Thank you, operator. Welcome everyone. This is Jim Kavanagh, Head of Investor Relations at ASML. Joining me today on the call are ASML's CEO, Christophe Fouquet and our CFO, Roger Dassen. The subject of today's call is ASML's 2025 fourth quarter and full year results. The length of this call will be 60 minutes and questions will be taken in the order that they are received. This call is also being broadcast live over the Internet at www.asml.com. A transcript of management's opening remarks and a replay of the call will be available on our website shortly following the conclusion of this call.

Before we begin, I would like to caution listeners that comments made by management during this conference call will include forward-looking statements within the meaning of the federal securities laws. These forward-looking statements involve material risks and uncertainties. For a discussion of risk factors, I encourage you to review the Safe Harbor statement contained in today's press release and presentation found on our website at www.asml.com and in our ASML's Annual Report on Form 20-F and in other documents as filed with the Securities and Exchange Commission.

With that, I would like to turn the call over to Christophe Fouquet for a brief introduction.

Christophe Fouquet {[BIO 20524437](#) <GO>}

Thank you, Jim. Welcome everyone and thank you for joining us for our fourth quarter and full year 2025 results conference call. Before we begin the Q&A session, Roger and I would like to provide an overview and some commentary on the fourth quarter results and full year 2025 results, as well as provide some additional comments on the current business environment and on our future business outlook.

Roger?

Roger Dassen {[BIO 15064806](#) <GO>}

Thank you, Christophe, and welcome everyone. I will first review the fourth quarter and full year 2025 financial accomplishments and then provide guidance for the first quarter of 2026.

Let me start with our fourth quarter accomplishments. Fourth quarter of 2025 total net sales were EUR9.7 billion, which is within our guidance. Net system sales were EUR7.6 billion, which includes EUR3.6 billion from EUV system sales, including two High NA systems, and EUR4 billion from non-EUV system sales. Net system sales were driven by logic at 70% with the remaining 30% coming from memory. Installed Base Management sales for the quarter came in at EUR2.1 billion as guided. Gross margin for the quarter was also within guidance at 52.2%.

On operating expenses, R&D expenses were slightly higher than expected at rounded EUR1.3 billion, mainly due to higher non-recurring personnel cost and the recognition of a grant that shifted into 2026. SG&A expenses also came in higher than guided at EUR375 million, driven mostly by higher mainly non-recurring salary-related costs, the sale of receivables, and pull in of certain IT spending. The effective tax rate for Q4 was 18%. For the full year 2025, the annualized effective tax rate came in at 17.7%. Net income in Q4 was EUR2.8 billion, representing 29.2% of total net sales and resulting in earnings per share of EUR7.35.

Turning to the balance sheets, we ended the fourth quarter with cash, cash equivalents and short-term investments at a level of EUR13.3 billion. Our Q4 free cash flow was EUR10.9 billion, which was significantly higher relative to the previous quarters of this year, with the majority of the cash coming in at the very end of the quarter.

Moving to the order book, Q4 net bookings came in at EUR13.2 billion, split between EUR7.4 billion of EUV systems and EUR5.8 billion of non-EUV systems. Net bookings in the quarter were slightly weighted towards memory with 56% in bookings and logic accounting for the remaining 44%.

Turning now to the full year, net sales came in at EUR32.7 billion, with a gross margin of 52.8%. EUV system sales realized from 48 systems including High NA were EUR11.6 billion, which was 39% higher than 2024. Deep UV system sales decreased 6% year-over-year to EUR12 billion. Our metrology and inspection system sales increased 28% from 2024 to EUR825 million.

Looking at the market segments for 2025, logic system revenue was EUR16.1 billion, 22% higher than 2024. Memory system revenue was EUR8.4 billion, 2% lower than 2024. And

Installed Base Management sales were EUR8.2 billion, 26% higher than 2024. We concluded 2025 with a backlog of around EUR38.8 billion.

In 2025, we continued to invest in innovation across our full product portfolio, increasing R&D spending to EUR4.7 billion or about 14% of sales. SG&A increased to EUR1.3 billion in 2025, which was about 4%. Net income for the full year was EUR9.6 billion, 29.4% of net sales, resulting in an earnings per share of EUR24.73. 2025 we generated free cash flow of EUR11 billion.

With that, I would like to turn to our expectations for the first quarter of 2026. We expect Q1 total net sales to be between EUR8.2 billion and EUR8.9 billion. We expect our Q1 Installed Base Management sales to be around EUR2.4 billion. Gross margin for Q1 is expected to be between 51% and 53%. Expected R&D expenses for Q1 are around EUR1.2 billion and SG&A is expected to be around EUR0.3 billion. For the full year 2026, we expect net sales to be between EUR34 billion and EUR39 billion with a gross margin of between 51% and 53%.

Regarding our cash return to our shareholders in Q4, ASML (Technical Difficulty) second interim dividend over 2025 of EUR1.60 per ordinary share. ASML intends to declare a total dividend for the year 2025 of EUR7.50 per ordinary share, which is a 17% increase compared to 2024. An interim dividend of EUR1.60 per ordinary share will be made payable on February 18, 2026. Recognizing this interim dividend and the two interim dividends of EUR1.60 per ordinary share paid in 2025, this leads to a total dividend -- a final dividend proposal to the Annual General Meeting of EUR2.70 per ordinary share.

In Q4 2025, we purchased shares for a total amount of around EUR1.7 billion. This program finished in December 2025 with a total of EUR7.6 billion repurchased out of the up to EUR12 billion program. We returned EUR8.5 billion to shareholders through a combination of dividends and share buybacks in 2025. ASML announced a new share buyback program effective today and to be executed by December 31, 2028. We intend to repurchase shares of an amount up to EUR12 billion, of which we expect a total of up to EUR2 billion will be used to cover employee share plans. We intend to cancel the remainder of the shares repurchase.

With that, I would like to turn the call back over to Christophe.

Christophe Fouquet {[BIO 20524437 <GO>](#)}

Thank you, Roger. As Roger has highlighted, we finished the year with a very strong quarter with good financial results. The market outlook has improved notably over the last months, especially as related to the continued buildup of data centers and AI-related infrastructure. This buildup is now translated into additional capacity needs at our Advanced Logic and DRAM customers and in turn an increased demand across our product portfolio, especially in our EUV business.

Over the past quarters, we have seen a notable increase in acceleration of capacity expansion planning across a large majority of our customer base. In Advanced Logic, our foundry customers have become more positive on the long-term sustainability of demand on a number of fronts. AI accelerators are migrating from the 4 nanometer node to the more litho-intensive 3 nanometer node. At the same time, customers continue to ramp the 2 nanometer node in support of next-generation HPC and mobile application.

In memory, our customers are reporting very strong demand for both HBM and DDR products with supply remaining very tight through at least 2026 as they ramp both their 1B and 1C nodes in support of the demand. In addition, DRAM customers continue to adopt more EUV layers on those nodes. This is expected to continue on their future nodes as they migrate more multi-patterning DPUV to single-exposed EUV, resulting in an increase in litho intensity. As a result of these dynamics, we see our customers in both segments increasing and accelerating capacity expansion plans to support the very strong demand they are seeing. We expect these investments to generate business for ASML in 2026 and beyond.

Starting first with EUV, we expect revenues to be up significantly this year as a result of the dynamics in both advanced logic and DRAM. In non-EUV, we expect revenues for 2026 to be similar to last year's as our advanced logic and memory customer expand capacity. As part of the outlook for non-EUV, we expect the China region share in our total net sale in 2026 to be in line with our current system backlog, which is around 20%. We also expect our metrology and inspection businesses to grow significantly as customers increasingly invest in enhancing their process control strategy. For Installed Base Management, we expect another year of revenue growth. This is primarily the result of increasing service revenue from our growing installed base of EUV systems and of our customer plans for performance upgrades to support their rapidly increasing capacity requirements.

Turning to technology, in EUV, we continue to make progress, driving down the cost of technology on our customers' most advanced processes. We ramped our NXE:3800E for 2025 and its productivity gains support further replacement of complex multi-patterning with single-exposed EUV for multiple layers on current and future DRAM. We also expect both immersion and EUV litho intensity to increase as customer migrate from 6F square technology to 4F square architectures.

With regard to High NA, our customers are reporting good progress on their qualification of the technology for logic and DRAM applications in their R&D facilities. Intel announced last month the qualification and acceptance of their EXE:5200B system which will be used in high-volume manufacturing for their leading edge nodes. We expect more system to be released to our customers in 2026, supporting their preparation for the insertion of High NA in high-volume manufacturing.

With the continuing increase of 3D structure in advanced logic and memory, we see more adoption of our multi e-beam inspection system to detect optically non-visible yield limiting defects. Our progress on system maturity and productivity supports further use of this multi-beam system in high-volume manufacturing on the most advanced nodes.

In summary, our product portfolio roadmap remains focused on supporting the roadmap requirements of our customers and driving our overall competitiveness. We look forward to sharing more performance data at the SPIE Advanced Lithography Conference in February.

Looking longer term, the last few months have confirmed the positive impact of AI on customer demand for our advanced products and especially for our EUV system. As we shared during our Capital Market Day in November 2024, we see the end market dynamics supporting a shift in product mix towards more demand for our advanced lithography products and an increase in litho intensity. The combination of our strong productivity roadmap on Low NA and the introduction of High NA supports further cost of

technology reduction. It also supports the conversion of more multi-patterning Deep UV to single EUV exposure, especially on advanced DRAM nodes. In line with what we shared at 2024 Capital Market Day, we expect 2030 [ph] revenue opportunity between EUR44 billion and EUR60 billion with an expected gross margin between 56% and 60%.

With that, we will be happy to take your questions.

Questions And Answers

A - Jim Kavanagh {[BIO 15261348 <GO>](#)}

Thank you, Roger, and thank you, Christophe. Now the operator will instruct everyone momentarily on the protocol for the Q&A session. Beforehand, I would like to ask that you kindly limit yourself to one question with one short follow up, if necessary. This will allow us to get through as many callers as possible. Now, operator, could we have your final instruction and then the first question, please?

Operator

Thank you. (Operator Instructions) And our first questions come from C.J. Muse from Cantor Fitzgerald. Please ask your question.

Q - C.J. Muse {[BIO 6507553 <GO>](#)}

Yeah, good afternoon. Good morning. Thank you for taking the question. So I guess, first question, trying to better understand your outlook for calendar '26, based on your EUV bookings, it looks like you're entering the year with about 114 Low NA tools and your implied guide is about 56, give or take Low NA. So is this a function of lack of certainty around the precise timing of cleanroom space adds? Are you facing challenges in sourcing lenses from Carl Zeiss? Are you seeing extension of lead times? Would love to hear your thoughts around those moving parts.

A - Roger Dassen {[BIO 15064806 <GO>](#)}

Yeah, C.J., good morning to you. Indeed, I think it's a number of the things that you just called out, right? So obviously we are ramping during the year to accommodate the demand is there. But the demand is also a little bit dependent on the progress that our customers are making in terms of the completion of their fabs during the year. So that's an important element in the bandwidth, if you like, of the guidance that we provide. So, to a large extent, it's driven by that. It's driven by our ability to execute and to continuously ramp or move rate quarter-on-quarter. Those I would say are the most important drivers of the corridor that you just alluded to.

Q - C.J. Muse {[BIO 6507553 <GO>](#)}

Great. Thanks. And as a follow up, I guess, on the High NA side, is there any change in terms of your vision for revenueing four to seven tools in calendar '26? And then more importantly, how are you thinking about adoption? Do you think there's an opportunity for follow-on High NA orders in the second half? And could we be surprised by seeing DRAM adopt sooner than logic? Thanks so much.

A - Christophe Fouquet {[BIO 20524437 <GO>](#)}

Well, I think there's no major changes compared to what we discussed last quarter, C.J. So I think that in term of adoption, I mentioned it, we continue to see good progress at both DRAM and logic customers. I think some of our customers are even starting to play with limited product wafer to see the performance of the tool, which is a good news. We still expect a lot of those qualification data collection to last most of the year, which means that when it comes to decision for insertion new order, we indeed look at the second half of this year 2027. On the question if it's going to be DRAM or logic first, I think, well, it's a bit of a neck to neck race right now, so hard to say. We see really good progress on both and the appetite to test the technology, I would say, in the coming months, sorry, again on product in both DRAM and logic customers.

Q - C.J. Muse {BIO 6507553 <GO>}

Thank you.

A - Roger Dassen {BIO 15064806 <GO>}

And maybe a final comment to C.J., because you referenced I think 114 tools in the backlog if I fit you correctly on EUV. I would tell you I think that's a little bit on the high end at EUR25.5 billion of total value of EUV. I think -- and that obviously includes also High NA, you might be a little bit on the high end of your unit number there.

Operator

We are now going to proceed with our next question. And the next questions come from the line of Joe Quatrochi from Wells Fargo. Please ask your question.

Q - Joe Quatrochi {BIO 18961101 <GO>}

Yeah, thanks for taking the question. I guess, I wanted to just go back to the 2026 kind of revenue growth guidance. If I look at the range between 4% and 19% growth, what type of those variables I guess are ASML controlled versus your customers controlled?

A - Roger Dassen {BIO 15064806 <GO>}

Joe, I think I just said it, right? I mean, it's obviously to a very large extent driven by the progress that our customers are making in completing the fabs and their ability to take in the tools. So that's a significant one in terms of whether the demand falls in '26 or whether it falls a little bit beyond '26. And then of course there is our ability to execute. But it all starts with our ability of -- with the ability of our customers to get the fabs in order and the pedestals in order in due time. So it's a bit of a combination of both, I would argue.

Q - Joe Quatrochi {BIO 18961101 <GO>}

Okay. So I guess just maybe as a follow up, just can you remind us just how do we think about the manufacturing capacity capabilities in terms of just like the number of Low NA EUV tools? I know you've had some targets out there from some Analyst Days previously, but maybe just an update there.

A - Roger Dassen {BIO 15064806 <GO>}

Joe, so what we've done, and this is the way we talked about it in the past, we have put in infrastructure such that we can respond, let's say, within a 12 month or a little over that

to demand. So that means that what we call the long lead time items, anything that takes a lot longer than, let's say, 12 to 18 months, that is in place. So we have our clean room in place, we have the equipment in place, et cetera, et cetera. So now what we're doing, based on the stronger demand signals as we've gotten them in the past couple of months, now we're ramping up our capacity.

Now, you will appreciate, you won't move from 44 EUV tools in one year to -- I'm just throwing it out, 80 tools in the year thereafter, right? So obviously that's a gradual process and that's the process that we're doing. So you will see us increase our move rate quarter-on-quarter. So training the -- getting the people in, training the people, et cetera, et cetera. And in that way, quarter-on-quarter, you will see an increase on a move rate. And we will do that hand in hand with our supply chain. So you will see the move rate increase during 2026 and in all likelihood of what we are seeing today, it is sustainable. You will continue to see that also beyond '26.

Q - Joe Quatrochi {[BIO 18961101](#) <GO>}

Thank you.

A - Roger Dassen {[BIO 15064806](#) <GO>}

You're welcome.

Operator

We will now take our next question. And the questions come from the line of Andrew Gardiner from Citi. Please ask your question.

Q - Andrew Gardiner {[BIO 7137663](#) <GO>}

Thanks very much. Good afternoon, everybody. Christophe, Roger, you've spoken today about the customers' medium-term plans being revised up. I mean, we can see that too in their public statements around revenue growth and CapEx for the coming years, in particular from your biggest customer in TSMC who said CapEx will be significantly higher for the next few years. And, I mean, some of that's quite clearly reflected in the record order intake that you've just reported, but also quite clearly not all of it. And I'm just wondering, in terms of the plans you just outlined, Roger, in terms of increasing that move rate over the coming quarters, how much more visibility are the customers providing you in terms of the equipment needs for next year and the year after? I mean, no one wants to be the bottleneck in the kind of growth that we're seeing in this industry. And I presume that goes for you guys as well. And you must be having those conversations with the customers. So can you give us any insight as to how that visibility is improving into next year and the year after?

A - Roger Dassen {[BIO 15064806](#) <GO>}

I think the public commentary of customers on the sustainability of the -- particularly the AI-related demand that they see on advanced logic and on memory, I think they also share that in the conversations with us. And of course that also translates into indications that they provide to us either for very concrete orders or what we call firm demand. So their indication of how they see the demand develop. I think the order intake in Q4, I think is strong evidence of that conversation and that it's not just a conversation, but that are actually also putting evidence and money into that. But they're also talking

beyond this year about what their expectations are, I would say, in particularly for '27. So our move rate plans that we have also takes -- it takes that element into consideration. So what they tell us, I think direction is very much in line with what they say publicly. But of course they also give us a strong indication of how they see their demand develop year-on-year.

A - Christophe Fouquet {[BIO 20524437](#) <GO>}

Maybe the one thing I'd add to that, Andrew, I think you have to be aware that -- so you have seen indeed our customer moving being far more vocal about their capacity planning. I think this has been also the resource of many, many discussion with their customers which are also providing, I would say, this mid-term demand. So what we have seen really in the last three months in the alignment between the different parties that, on the mid-term, as Roger explained, we see basically a strong buildup of demand and we have got many, many proof of that also in the last few weeks coming out of either logic or DRAM customers. So I think it took a bit of why to really get to that point, but we really see that happening very strongly in the last few weeks. And I think this is aligned across a large part of the ecosystem.

Q - Andrew Gardiner {[BIO 7137663](#) <GO>}

Thanks very much.

Operator

We are now going to proceed with our next question. And the questions come from the line of Alexander Duval from Goldman Sachs. Please ask your question.

Q - Alexander Duval {[BIO 16682293](#) <GO>}

Yes, thank you very much indeed for the question. Firstly, on 2026, I wanted to just go back to assumptions for the top end of your sales guidance. I was curious to what extent that would assume that China is meaningfully down. And then going back to the discussion about long-term capacity, you've obviously talked about customers being more confident on mid-term demand and the longer-term situation. I think, in the capacity planning you've done in the past, you talked about 80 to 90 EUV tools. But if we think very much towards the 2030 timeframe, the kind of plans that the customers' customers are talking about would imply something bigger than that. So what kind of lead time would be required for you to push beyond that kind of outcome? And would there be other means through which you could deliver the capacity needed? For example, making your tools more productive by investing in R&D? Thanks very much.

A - Roger Dassen {[BIO 15064806](#) <GO>}

So when it comes to the top end of the expectation, when we talk about China being 20% of sales, I would argue that's across the entire range, right, so which obviously means that if we're talking about EUR39 billion, you're looking at approximately EUR8 billion of China. So I would say that probably our expectation on China probably moves with that. If you look at what are the key expectations on the upside of that, well, A, as we just said, it means that our customers indeed are able to take our tools that we're able to execute on as we currently plan.

And probably also that the installed base business is running on all cylinders, particularly on upgrades, which is not illogical because upgrades obviously are in very high demand right now because it's the easiest, fastest and most effective way for customers to get additional capacity, which in the current market is obviously very, very important to them. So those would be the key elements that I would say that would drive that. And, in that model, you could also envisage a China market at 20% of that total sales number.

When you talk about the long-term demand, let me make a few comments and then Christophe, maybe you can weigh in. First, you should not forget that when we get to the 2030 time frame, obviously at that stage, yes, we're looking at Low NA, but we're also definitely looking at High NA. And the Low NA tools that we would be providing at that point in time would of course be Low NA tools with again a higher throughput than what we have today.

So back to your question on R&D, absolutely, we will continue to push the roadmap on our Low NA tools and continue to drive capacity such that per tool, the customers get more productivity than what they get today. But also at that stage, we expect a more meaningful number of High NA tools that would provide significant additional output capacity. And in that combination, I think the numbers that you were just throwing out, I think will provide output capability to customers way ahead of the numbers that we're talking about today.

A - Christophe Fouquet {[BIO 20524437 <GO>](#)}

Yes, I think Roger said it all. I think the way we'll summarize it is that we have, I would say, the flexibility to react to the development of the market. I think we talked about mid, short term already. I think it's also true on the long term. And, yeah, Roger is right. The contribution of High NA, the work we continue to do on productivity, we already planned for that, will give us even additional flexibility. So with the step we have done on our capability on EUV, Deep UV in the last few years, which you remember, we did execute -- despite the fact that maybe the demand was a bit lower at some point, we have created basically the right flexibility to see the market coming.

Q - Alexander Duval {[BIO 16682293 <GO>](#)}

Thanks very much.

Operator

We are now going to proceed with our next question. And the questions come from the line of Krish Sankar from TD Cowen. Please ask your question.

Q - Krish Sankar {[BIO 16151788 <GO>](#)}

Hi, thanks for taking my question. I have two of them. First one, Roger, for that to reconcile your bookings between EUV and memory, typically memory has been 30% of the EUV mix. So it looks like a big jump in the memory orders last quarter was driven by Deep UV. Is that fair? And then on EUV for memory for 1C node DDR5, are we talking about 7 to 8 EUV exposures or lower than that? And then I had a follow up.

A - Roger Dassen {[BIO 15064806 <GO>](#)}

Let me take the first one and Christophe can take the second one. No, I think the order intake for memory is strong but not just Deep UV, also EUV. And in all likelihood if we look at the composition of our sales in 2026, you will see a major memory play in there. So the demand in '26 is far more balanced in terms of logic versus memory than it was in 2025. So that's what you see. But this is not just Deep UV. This is definitely also EUV.

A - Christophe Fouquet {BIO 20524437 <GO>}

Yeah, I think on the EUV, I think when it comes to DRAM, I think we are going to benefit both from of course the demand for capacity which we already discussed is very strong this year. Most probably beyond that. And we've been talking about the number of EUV layers increasing on DRAM. This has been one of our focus. We have seen that happening in 2025. We continue to see that happening. I mentioned it in the introduction on 6F square but also on 4F square. And this is a bit what I would call the perfect storm because when it comes to EUV, as a result of DRAM share most probably will increase over time. So this is a very good dynamic on DRAM, which again, based on all the work we do with our customer discussion we have, we don't see stopping. So there's still some lead way for more EUV layers for more litho-intensity on DRAM for sure. And we should benefit from that in the years to come.

Q - Krish Sankar {BIO 16151788 <GO>}

Got it. Then as a quick follow up, sorry to get back to this manufacturing capacity, is it fair to assume your EUV manufacturing capacity is around maybe 70 units and does that potentially constrain your growth next year? The reason I'm asking is that, is your manufacturing capacity limit crossing movement of tools between this year and next year leading to your wide range of revenue guide for '26?

A - Roger Dassen {BIO 15064806 <GO>}

Hey, Krish, as I said, our capacity is very dynamic because we cannot move from one point to the other just like that in one quarter, right. So that's why I said, we had 44 revenue units of EUV Low NA last year. You cannot go from one quarter to the other, even from one year to the other from 44 to 80. So we will crank it up. Every quarter you will see us increase move rate, you will see us increase capacity. And if the demand signals remain as strong as they are, that will continue into 2027 as well. And then, I would say, 70 would not be the limit that I would certainly be looking at. I think that is higher.

Q - Krish Sankar {BIO 16151788 <GO>}

Thanks, Roger.

Operator

We are now going to proceed with our next question. And the questions come from the line of Mehdi Hosseini from Susquehanna Financial Group. Please ask your question.

Q - Mehdi Hosseini {BIO 4362002 <GO>}

Yes, thanks for taking my question. My first one has to do with just the capacity that, Roger, you just highlighted. I want to better understand EUV capacity and the topic has been around since the 2021 when last time we had the shortages. I wanted to better understand what are the key factors? As you ramp the EUV capacity, is that going to

impact the booking trend? In other words, are your customers actually waiting to have a conviction of you adding commercial capacity before they commit to booking or backlog that will be shippable in '27 and beyond? And I have a follow up.

A - Roger Dassen {[BIO 15064806 <GO>](#)}

No, I don't think, Mehdi, that's what is going on. Customers know what we're doing. We share pretty openly with customers how we're looking at our ability to increase. I think customers appreciate that we've built in far more flexibility into our model than what we had before. If anything, if customers start to smell that for a certain year you might be supply constrained, actually the dynamic is the other way around. They want to make sure that they get their booking in before they are too late, right? So as a matter of fact, I would say, if they believe that the capacity might become a choke point, then they will jump to put in the order. So I think it's more of that than that are waiting for definitive confirmation that the capacity is there. But we'll very openly share with them what our plans are. And again, they appreciate the flexibility that we've built in and the significant reduction of response time that we have created as a result of creating the long lead time items.

Q - Mehdi Hosseini {[BIO 4362002 <GO>](#)}

Okay, great. Thanks for clarification. And I want to go back to the comments in the transcript that was posted with the earning report. There was a comment that some of the booking will be shippable in '27. So the question that I have is, what would it take for you to hit the high end of revenue guide for this year? Is that the China -- I'm assuming that China backlog has a shorter lifetime and to that extent, is that the China that is going to impact your ability to hit the high end of your revenue guide range?

A - Roger Dassen {[BIO 15064806 <GO>](#)}

I think I said it. I think first and foremost, it's the readiness of our customers to take tools. I think that is number one. So their ability to complete fab construction, put the pedestals in and take our tools, I think that's constraint number one. Constraint number two, our ability to execute. So I just talked about what we're doing to increase the DRAM. We're comfortable with that. But of course, everyone needs to think from the same song sheet, not just us, but also the supply chain. So we got to make sure that everyone is tuned in to the same ramp that we have on pace. So that would be the second one. So that would be more of a supply factor. On the demand side, I think it's the demand for upgrades. And I gave some color on that earlier on. And as I mentioned on China, I think, in our guidance, China is 20% of revenue. So China would breathe along with the corridor that we have given.

Q - Mehdi Hosseini {[BIO 4362002 <GO>](#)}

Thank you.

A - Roger Dassen {[BIO 15064806 <GO>](#)}

You're welcome.

Operator

We are now going to proceed with our next question. And the questions come from the line of Didier Scemama from Bank of America. Please ask your question.

Q - Didier Scemama {[BIO 21301064 <GO>](#)}

Thank you. Good afternoon, gentlemen. And just talking about 4F square and DRAM really, so I think, Christophe, you mentioned in your press release that you see in your interaction with DRAM customers that in fact DUV and EUV layer count could go up with 4F squared. So I'm just wondering, obviously, there is a school of thought in the market that 4F squared would lead to a cliff in EUV demand from DRAM customers whenever we see 4F squared introduction, say, 2028. So is that a risk that you think is significantly diminishing? Because, obviously, the view is reuse of tool capacity. Or do you think that now as new video account [ph] goes up and there is also a view that now wafer capacity in DRAM is going to have to expand dramatically over the course of the next five years because of AGI and more complex LLMs that effectively this risk of a cliff and significant reuse of the EUV tools is effectively really diminishing dramatically. I've got a follow up as well. Thank you.

A - Christophe Fouquet {[BIO 20524437 <GO>](#)}

Yeah, I'll try to answer all the points. So I think the first thing to say is, if you look at 4F square, the structure require more advanced litho mask, so that's the first thing. So you get basically to look at a more complex structure and that structure is going to require more lithography. This is why we mentioned that both in fact immersion and EUV will go up.

Now you talk about cliff a lot. Customers don't like cliff. Cliff are very bad for operation. What customer like is optimized technology over several nodes. And therefore when we talk about EUV insertion with our customer, of course, the transition to 4F square is taken into account because no one wants to buy a lot of tools and be stuck with them. So cliff is never good for customers when it comes to operation. And what you see happening with DRAM is that EUV basically has become a very handy tool to simplify processes, to simplify the number of step, to simplify cycle time -- to reduce cycle time, sorry, and even to bring more capacity because if you have less mask, if you have less multi-patterning, you end up basically with more space in your fab.

So EUV, I would say that the more DRM customer use it, the more they like it because they get benefit on all those counts. And again they want to include the cliff. So when we made the statement in our release, basically it's really out of many, many discussion with customer and I think that -- well, I don't know if the risk is going down. We never thought that the risk was pretty high, but I think we are very, very confident that again litho-intensity grow with 4F square, both on Deep UV and EUV. And as I said before, we see EUV number of layers continuing to grow both before and after this transition.

Q - Didier Scemama {[BIO 21301064 <GO>](#)}

Very clear. Thank you. So my follow up is on the gross margin side. So I think perhaps one element of disappointment in the guide is the gross margin. And I think you mentioned, the mix of EUV Low NA, obviously, immersion probably going to decline because of China. And then also the -- let's say, the upgrades business and the sort of milestone payments that might not be as strong in '26. I'm just wondering, if you look into '27, do you think that your mix of Low NA EUV will sort of revert back to what you had said before, which is

the majority will be 3800E? Or is there any reason why 3 nanometer capacity expansion will continue to grow into '27? I guess, the immersion question on China is anyone's guess, but if you want to hazard into an answer, I'm very happy to hear it.

A - Roger Dassen {BIO 15064806 <GO>}

Didier, on the mix for EUV, customers liked our 3800 so much that they took as much as they could get in terms of 3800 rather than 3625. But of course, we had a number of 3600 that still needed to be completed that we had all the parts for. And those will be shipped in all likelihood in '26. So the '27 mix in terms of EUV should be substantially better. And also at that point in time we're probably looking at the next generation. So the EUV mix by '27 should be better than '26. And you're right. That is an important element because if you look at how we plan to work and get -- how we plan towards the 56% to 60% gross margin in 2030, it's pretty clear that new generations of Low NA EUV are critical in that regard. So the EUV mix in '27 will be better than it is in '26.

Another mix effect that is in there indeed is on the Deep UV side. So quite a bit more drive rather than immersion. I would say, in all likelihood, that is less a matter of demand, but it's supply, right? So on the supply side, we are constrained in terms of immersion for 2026. So it's in that result that, with higher drive business and restrictions on the immersion side, that gives you a less favorable Deep UV mix that goes into the equation. And then an important swing factor because you still have a 2% bandwidth in the gross margin. An important element of the swing factor will be installed base and will be upgrade business. That gives you the moving parts, Didier.

Q - Didier Scemama {BIO 21301064 <GO>}

No, that's great. By the way, do you want to say what you think will be the rev rec on High NA in '26?

A - Jim Kavanagh {BIO 15261348 <GO>}

Rev rec on High NA.

A - Roger Dassen {BIO 15064806 <GO>}

What?

A - Jim Kavanagh {BIO 15261348 <GO>}

The amount of High NA units.

A - Roger Dassen {BIO 15064806 <GO>}

Okay. Yeah, probably a bit more than we had this year, but don't want to go into too much detail there.

Q - Didier Scemama {BIO 21301064 <GO>}

Okay, fair enough. Thank you.

Operator

Thank you. We are now going to proceed with our next question. And the questions come from the line of Francois Bouvignies from UBS. Please ask your question.

Q - Francois-Xavier Bouvignies {BIO 19672683 <GO>}

Thanks a lot. One for Christophe and one for Roger. I mean, the first one maybe is for Christophe on the High NA. I just wanted to get in more details in here. I mean, we see the industry moving into a rush in terms of capacity both at TSMC and Advanced Logic, I should say, and the memory overall. And I was wondering if you have a rush in this capacity. Could that delay the High NA adoption? Do you see some risk happening of delay in High NA adoption because the industry simply to add capacity that they don't want to add another risk in terms of transition? So I was just wondering if it's something that's possible.

A - Christophe Fouquet {BIO 20524437 <GO>}

Well, I think from day one I've been talking about three phases of High NA adoption with R&D qualification for ivory manufacturing. Then insertion in ivory manufacturing was limited amount of layer and then the whole thing. And I would say that plan always provide basically the time to have a real qualification. So, the acceleration you see today on capacity of course is on existing nodes that are ramping with known technology and those nodes will call for the use of the existing product we ship today. So that's Low NA, that's Deep UV, that's metrology inspection as we know it today.

The preparation of High NA for the next node is such that it does leave the time if customer want to use it to insert it properly. So sometimes maybe some of you could believe that 1, 2, 3 phase is a bit long, but this is, on the other end, the way to secure the insertion on the node because once a decision is made to use it on the node, they really want to use it. They prepare the mask for it, they qualify the whole process with it. So it's very difficult to change your mind and say, hey, I'm going to go back to the whole stuff. So I think customers tried to do those things in such a way that they are not too sensitive to either a major acceleration or slowdown of their capacity. So it's a longer answer to say, no basically. So we don't see a risk there.

Q - Francois-Xavier Bouvignies {BIO 19672683 <GO>}

Perfect. Thank you. And maybe, Roger, my question is for '26. I mean, if China is 20% of revenues, if we take the midpoint, it would imply China is down, what, 20%, 25% year-on-year, which is mainly in Deep UV. And you guided Deep UV flat for '26, which means non-China Deep UV needs to go up by 40% for the year-on-year kind of pull to get the flat Deep UV. And I remember last year, I guess, it's kind of a deja vu where last year you said there is a strong correlation between the non-China Deep UV and EUV growth. But when I look at '25, your non-China Deep UV was actually not growing much compared to EUV. You had a big disconnect between the two. So I was wondering if there was a catch up somehow from '25 to '26 or just trying to understand why this year you would see this strong growth happening and we didn't see that in '25?

A - Roger Dassen {BIO 15064806 <GO>}

Yes, Francois, that's a really good question. And indeed this is what we observed. So '24 was strong also on the non-China business, '24 was pretty strong also in the drive business for customers across the board. '25 disappointed a bit. If we look at '26, we see the market come back with our leading customers. Frankly, I think many of our

customers are doing what we do which is, you put in the long lead time items which in our case is more the EUV stuff and you take a bit more flexibility in your shorter lead time items which is Deep UV business. I think that's what they've done for a significant part of the year. We actually could see the non-China Deep UV business come back in the last months of the year and we frankly see that trajectory continue into 2026. So you're right in that we found that '25 non-China Deep UV business disappoint. That is clearly the case. But we do see a reversal of that trend in the last months of the year and see that reversal continue into 2026.

Q - Francois-Xavier Bouvignies {BIO 19672683 <GO>}

Great. Thank you, Roger and Christophe.

Operator

Thank you. We are now going to proceed with our next question. And the questions come from the line of Chris Caso from Wolfe Research. Please ask your question.

Q - Chris Caso {BIO 4815032 <GO>}

Yes, thank you. Good morning. My question is with regard to the expected timing of deliveries within the backlog and you mentioned a few things in your earlier comments, including customers recognizing that capacity may be tight, availability of customer cleanroom space. I'm not sure you'd wish to quantify how much of the backlog is expected to ship in '26, but would you say that the timing of those expected deliveries is stretching out, as compared to, what's happened over the past few quarters?

A - Roger Dassen {BIO 15064806 <GO>}

Our expectation is, Chris, that the second half will be stronger than the first half. But I would say that that's a function of what I just said, which is, A, the availability of fab space of our customers and, B, our continuous quarter-on-quarter ramp of our move rate. So as a result of that we expect it to -- for the second half to be stronger than the first half of this year. That's the way we currently model our shipments in discussion with the customers. But, clearly, quite a bit of the order intake that we had in Q4 and clearly, part of the backlog is for '27. That is pretty clear. And it is '27, right? So the majority, the lion's share of the orders that came in Q4, some of it is '26, but the lion's share really is for '27.

Q - Chris Caso {BIO 4815032 <GO>}

Thank you. My follow-up question is with regard to gross margins and you spoke about that a bit. But perhaps you could clarify what are the headwinds and tailwinds with respect to gross margin for this year? I presume that China is one factor, but what are the factors that cause you to be on the upper end or lower end of gross margins as you go through the year?

A - Roger Dassen {BIO 15064806 <GO>}

I wouldn't say it's China per se. I would say, it's immersion, right? So immersion tool is -- immersion is a significant contributor to the gross margin. As I mentioned before, we do expect the immersion sales this year to be below 2025, which is not the result of demand, but it's the result of supply constraints on the immersion side. So that is a bit of

a drag. Then you see quite a bit of drive sales. As we said, we also expect the drive sales which was fairly low in 2025. We already saw that reverse itself in the last months of the year and we see that reversal will continue into this year. But drive tools come with lower gross margins. So that's a drag on the gross margin. On the EUV side, there is a bit of a mix effect because we have 3600 in the year that we didn't have that much in 2025. And then if we have a bit more High NA, then of course that also comes with a slightly depressing effect on the gross margin. So that's all the negatives.

In terms of all the positives, I would say, higher EUV numbers, right? So we're clearly looking at a significant step up in the number of EUV tools this year and that is margin accretive. So that's on the positive side. And as I mentioned, the big swing factor, as I look at it today is on installed base. And to the extent that the installed base will manifest itself in a positive way, high demand for upgrades, which at least theoretically you could assume to be the case this year with all the appetite for capacity additions that our customers have, that should be helpful on the gross margin. So those are all the puts and takes as I could see it for the gross margin this year, Chris.

Q - Chris Caso {[BIO 4815032 <GO>](#)}

Helpful. Thank you.

A - Roger Dassen {[BIO 15064806 <GO>](#)}

You're welcome.

Operator

We are now going to proceed with our next question. And the questions come from the line of Tammy Qiu from Berenberg. Please ask your question.

Q - Tammy Qiu {[BIO 17604871 <GO>](#)}

Hi, thank you for taking my question. So the first one is on logic roadmap. So over the next few years we do have A16, A14, A14C, and A10. Can you confirm that for every single generation, are we still going to have EUV insertion of couple of layers or some of the customers really try to minimize the incremental EUV layers, please?

A - Christophe Fouquet {[BIO 20524437 <GO>](#)}

Well, so let me try to answer that. So I think if you look at the midterm, so we talked about 2 nanometer. Indeed, we're going to go to A16 which is very similar to 2 nanometer. To be honest, this is not a big difference. I will skip that. We see then basically EUV layers increasing again at A14 as we discussed in the past, most probably 10% to 20%. We see that being even more true for A10 where the structure change could call for even more EUV layers. So that's a bit the view we have all the way to A10. And in the discussion with our foundry customer, again there's a lot of, lot of focus on that because this is key in enabling their future technology. So that's a bit where we -- what we see today on the foundries.

Q - Tammy Qiu {[BIO 17604871 <GO>](#)}

Okay, thank you. And I have a follow up also on capacity issue. So I remember that back in 2021 you were very clear about you will do 90 EUV tools and that is a capacity we need. Then of course the unfortunate 2022 happened, so we took a pause of that. And it

sounded like today your capacity addition plan has been more cautious than you were previously. There is any reason for that or just basically after 2022, it's better to take a cautious approach from a capacity perspective?

A - Roger Dassen {BIO 15064806 <GO>}

I think I tried to explain, but I guess I didn't completely succeed in that. So what I said is what we did in the earlier years of this decade is to put in what we call the long lead time items, which means that anything that takes more than, let's say, 12 to 18 months to get done, we did, right? So we build additional factory, we put in equipment, et cetera, et cetera. So we build cleanrooms. So all of the things that they find, we did. Now, so that's good news. So that gives you more flexibility. But as I mentioned before, you cannot from one year to the other move from a move rate -- an annual move rate of 44 to 80 in one year time. It simply doesn't work because you need to take in people, you need to hire people, you need to train those people, and you cannot double that in one year's time. That needs to be a gradual approach.

So this is the process that we're in right now because we also took a decision back in 2022, 2023, we're not going to put in people for -- we are not going to put in people for an output of 90 because that would make no sense. They would have nothing to do and it would be very, very costly. So we're gradually moving our move rate up. So does our supply chain. Same story there. They're also gradually quarter-on-quarter moving up their move rate and in that way, we will, very meaningfully, increase our capacity over what we had in last year. So that's what we're doing. So we have the structural big investments to get to 90 and now we're gradually moving our move rate up in order to move our integral capacity to cater to the demand. And we think that our increase in capacity goes nicely hand in hand with the completion of fabs by our customers such that we will not be the limiting factor in them being able to increase their capacity.

A - Christophe Fouquet {BIO 20524437 <GO>}

Yeah, maybe to add to that, to second Roger on that, so I think what we said back to 2026, so we said that the major factor in fact on tool delivery would be the execution of our customers, because you have to realize, a lot of decision have been done in the last few months. And this also means that they are extremely active in putting capacity in place, et cetera, et cetera. And, in 2026, as Roger said, we can nicely follow basically right now their own ambition, which is good.

When it comes to beyond 2026, as you know, the lead time on our EUV machine is at least 12 months, which means that, as we speak, we are capable to have that discussion with our customer looking at next year basically. And as we do that, we can adjust basically our planning exactly in the way Roger mentioned it. But so far, if we look at the short mid term, we are capable to nicely follow basically what our customers are asking for.

So, I think I sense a bit some concern that we may be the bottleneck before a customer. This is not the case, certainly not this year. And again for next year, we have plenty of time to continue to follow basically their demand. So I just want to make that clear. See, what Roger described is the process and the flexibility we have. Thanks to the investment we have made on our indeed 90 capability for EUV 600, for Deep UV to follow basically very carefully what our customers are going to need in the next few quarters.

Q - Tammy Qiu {BIO 17604871 <GO>}

Thank you.

A - Jim Kavanagh {BIO 15261348 <GO>}

Okay. Unfortunately, we have run out of time, but you were unable to get through on this call and still have questions, please feel free to contact the ASML Investor Relations Department with your question. So now, on behalf of ASML, I would like to thank you for joining the call with us today. Operator, if you could formally conclude the call, I would very much appreciate it. Thank you.

Operator

(Technical Difficulty) 2025 fourth quarter and full year financial results conference call. Thank you for participating. You may now disconnect.

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